The Operations Strategy Case Competition - 2026

LEAGILE

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Recovery losses start at the front door: 1 in 3 CBZ loans is disbursed late.

DEFINE & MEASURE · 20% of recoveries late, 5% stopped, and the leak starts in origination, not collections

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THE PROBLEM

20%

Delayed or missed recoveries
CBZ reports that a portion of expected recoveries is not received on time. This signals a collection-performance problem.

5%

Stopped recoveries
Some recoveries stop altogether, creating potential bad-debt exposure. The exact definition, should be confirmed with CBZ.

+25%

Rising revenue loss
Reported year-on-year growth in revenue loss makes improving the loan lifecycle an urgent business priority.

2.7X

CBZ's 5% stopped recoveries vs 1.87% for Indian MSME loans → a CBZ problem, not a market problem

VALUE CHAIN: HOW A SLIP UPSTREAM BECOMES A LOSS DOWNSTREAM

Origination, where CBZ has data (350 applications) | **Recovery, where the loss shows**

loans & application	Documents & intake	Credit approval	Review	Sanction & terms	Disbursal	Servicing (EMIs)	Collection & Recovery
Slow, uncertain TAT: good borrowers walk away	**24 files** stuck on late client docs & queries	**37 reworks & slips:** quality 20 · planning 12 · platform 5	8 files cleared with 1 checker, not 2, or approver away	**31 client reworks** & scope changes after terms were set	**1 in 3 loans late ₹450 Cr in +7 days**	20% EMIs missed or delayed	5% stopped → bad debt +25% revenue loss

1. Timing: money arrives after the business need

2. Credit quality: rushed or single-checked appraisal -wrong-sized loans - defaults

3. Information: incomplete files -weak early warning & contact data -slow recovery

4. Selection: best borrowers leave for faster lenders -riskier book -more defaults

Late money
Funds land after the business need, so EMIs start before cash comes in → late EMIs

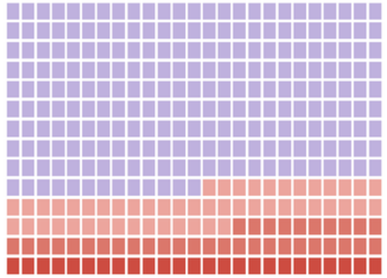
Weak checks
Rushed or single-checked appraisals (8 files) → wrong-sized loans → defaults

Missing data
24 files stuck on incomplete documents → weak early warning → slow recovery

Slow approvals: **loss of borrowers**

GOAL AND SCOPE

GOAL	Reduce late disbursals, improve recovery timeliness, lower avoidable bad-debt losses.
6-month target	Reduce late disbursals from 32% to 20%
12-month outcome target:	Reduce delayed recoveries from 20% to 12%; Stopped recoveries from 5% to 3%
SCOPE	Application → document intake → credit appraisal → approval → disbursal → servicing → collections.



1 in 3
loans disbursed after the 15-day promise

On time (≤15 days)	238	(68%)
16–20 days	52	(15%)
21–25 days	35	(10%)
26–32 days	25	(7%)

What the data can and can't tell us

✓ 350 loan files, end to end through disbursal

✓ a reason for every late file (111 usable)

✗ no repayment data linked to these files yet

RECAP links them; the day-90 test proves it

SO WHAT: The loss shows up in collections but starts in origination. **1 in 3 loans arrives late**, and every slip upstream raises recovery risk downstream.

It's how CBZ processes, not who it lends to: 5 fixes + early warning to cut late loans

ANALYZE & IMPROVE · West runs 3x worse than East · 3 causes drive 52% of delays · every cause has a fix

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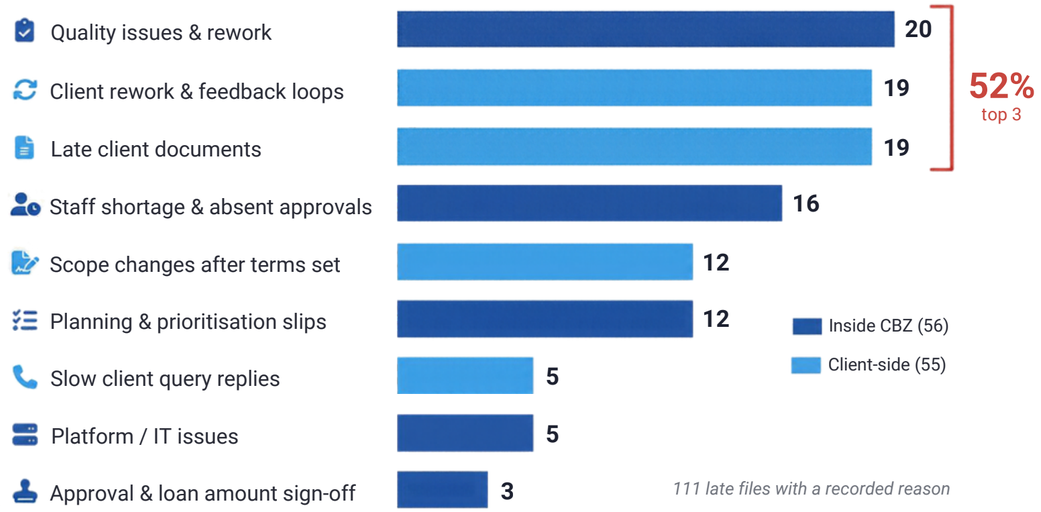
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WHAT DRIVES THE DELAY?

Zone	**BIG DRIVER**	West 41% late vs East 13%
Industry	No real effect	All sectors look alike
Loan vs Lease	No effect	31% vs 32% late
Loan term	No effect	Short term and long terms equal
Loan size	**Small effect**	Tiny & huge packets slip a bit more

It is HOW CBZ processes loans, not WHO it lends to.

WHY FILES ARE LATE



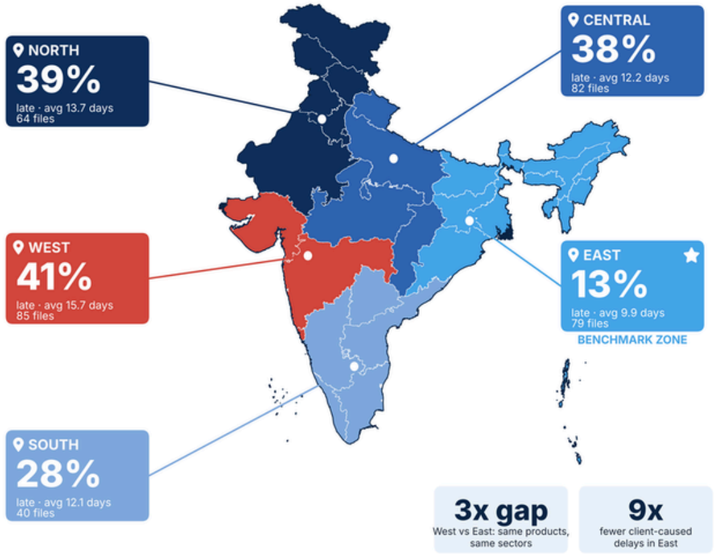
AI early warning: predict the miss, prevent the loss

Origination red flags
EMI behaviour
Business cash flows

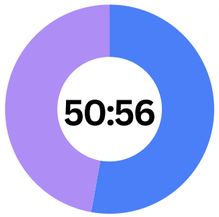
→ CASHFLOW RADAR →

Who will slip in the next 30–60 days
Why: top 3 reasons in plain words
What to do: best next action + owner

% OF LOANS DISBURSED AFTER 15-DAY PROMISE:



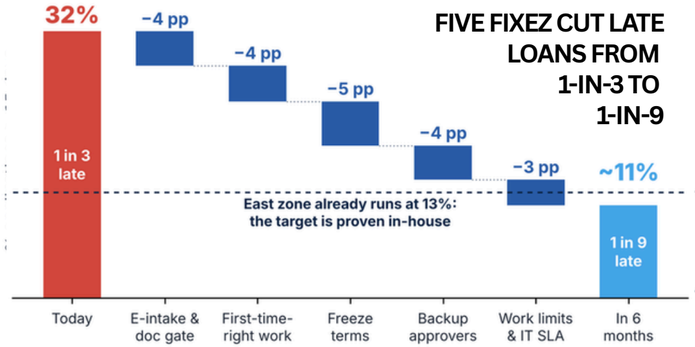
WHO OWNS THE DELAY?



56 Delays inside BCZ (Quality, staff, planning IT)

50 Client-drive (Docs, rework, scope)

Client-driven ≠ uncontrollable. East keeps client-caused delays at 2.5% of files vs 23.5% in West.



ROOT CAUSES AND FIXES, WITH IMPACT

ROOT CAUSES	COUNTERMEASURE	IMPACT
Late client documents	E-intake + "incomplete file, no start" gate	4 pp
Quality issues & rework	First-time-tight templates & checklists	4 pp
Client rework & scope changes	Freeze terms pre-appraisal; changes restart clock	5 pp
Staff gaps & absent approvers	Backup approves + system lock; always 2 checkers	4 pp
Planning, IT & query slips	Oldest-first queue, work limits, IT uptime SLA	3 pp

SO WHAT: Who CBZ lends to barely matters; how it processes does. Five fixes, proven by East's own numbers, cut late loans from **1 in 3 to 1 in 9.**

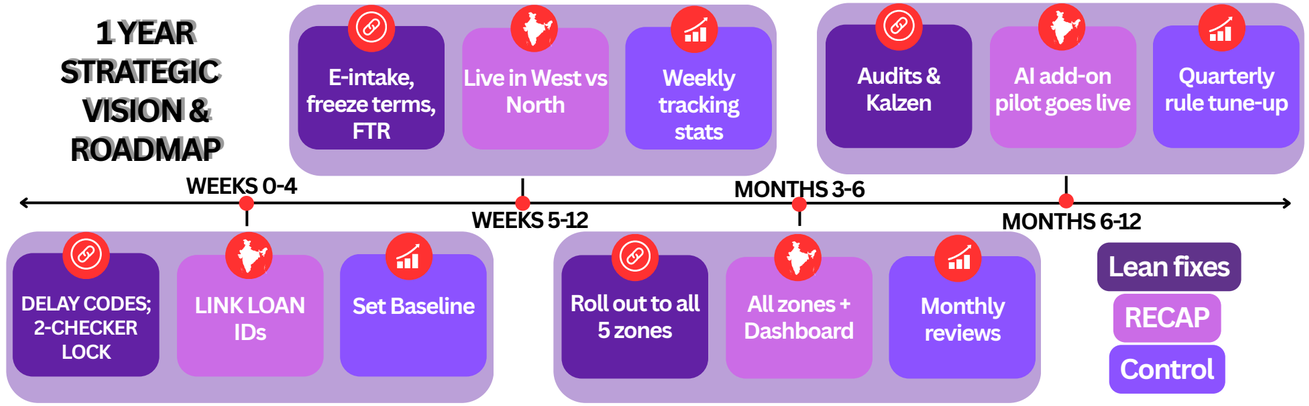
A 12-month plan that protects ~₹24 Cr and holds late loans at 1 in 9

IMPROVE & CONTROL · Roadmap · value at stake · control tower · appendix: proof & assumptions

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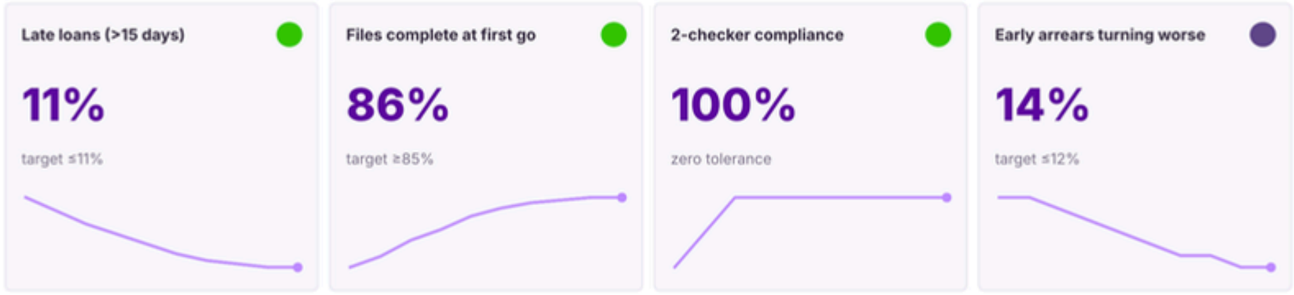
RECAP (engine behind the plan):
1. Link: one loan ID across origination, EMIs and collections; 2. Score: 0–100 risk priority every week; 3. Act: the right step per stage (before due · 1–30 · 31–60 · 61–90 · 90+ days late); 4. Learn: rules tuned monthly



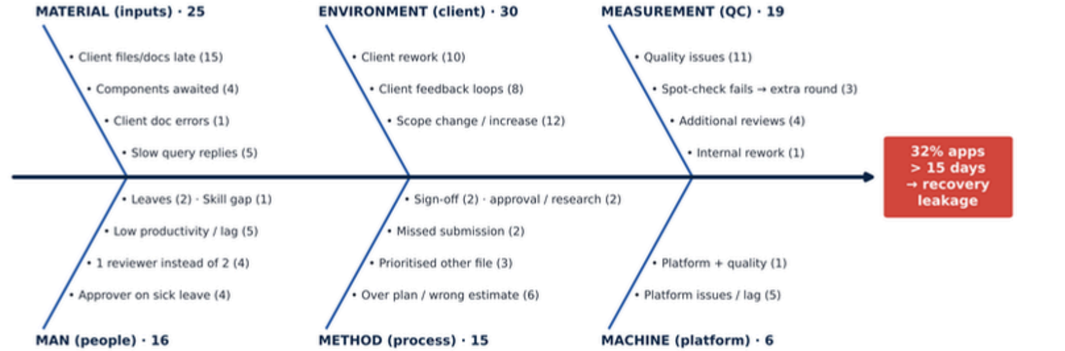
WHAT CBZ GETS (BASE CASE)

₹ 24 Cr	₹ 98 Cr	₹ 2.7 Cr	12-37 Cr
principal protected from bad debt (base)	of EMIs back on schedule each year	Interest income saved per year	Range: conservative to optimistic

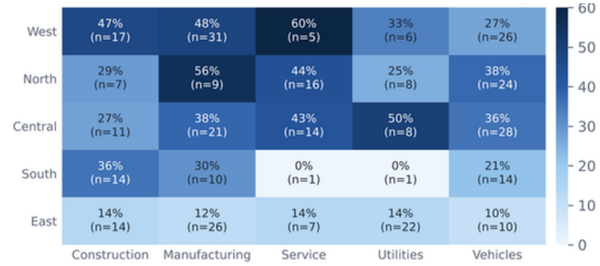
CONTROL TOWER: HOW THE GAINS STAY (ILLUSTRATIVE WEEKLY VIEW)

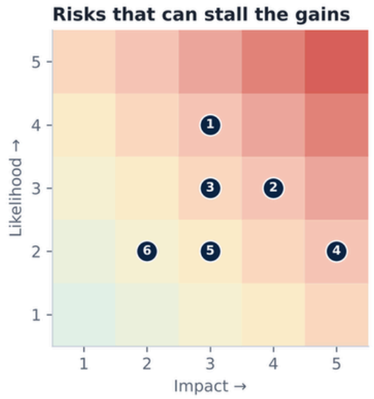


CLICK HERE TO CHECK APPENDIX & SOURCES









1. Client non-cooperation on documents
2. App No.↔Loan ID linkage fails
3. Staff adoption / change fatigue
4. Sector downturn (construction/mfg)
5. Regulatory change (RBI recovery norms)
6. AI model drift (add-on only)

Assumptions, control plan, score formula

- SLA = 15 days (reasons are logged for every file ≥16 days and none below); cycle time in days; Amount in ₹ lakh (₹25 L–₹21 Cr, fits MSME bands).
- Waterfall: files fixed × capture rate (75% CBZ-controlled, 60% client-dependent, 50% mixed) ÷ 350. ₹ scenarios apply the case's 20%/5% rates to the ₹1,221 Cr sample book; interest at 11%.
- Control plan: late loans (weekly, zonal ops head, alert above normal range) · first-time-complete files (weekly, intake lead) · 2-checker compliance (daily, CCO, any breach freezes the file) · early-arrears roll rate (monthly, collections head).

SO WHAT: Pilot in West for 90 days and scale only what the control tower proves: ~₹24 Cr of principal protected, bad debt 5% → 3%, gains locked in with owners.

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THANK YOU

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